BAJAJ | Allianz

Jiyo Befikar

LIFE INSURANCE

BARRIERS TO PREMIUM RENEWALS

A PILOT STUDY

This is a defined scope pilot study limited to two geographies only.
Any & all insights, outcomes and behaviours arising from this study should be taken under advisement

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The aspects behind payment behaviour

The transaction of insurance premium payment

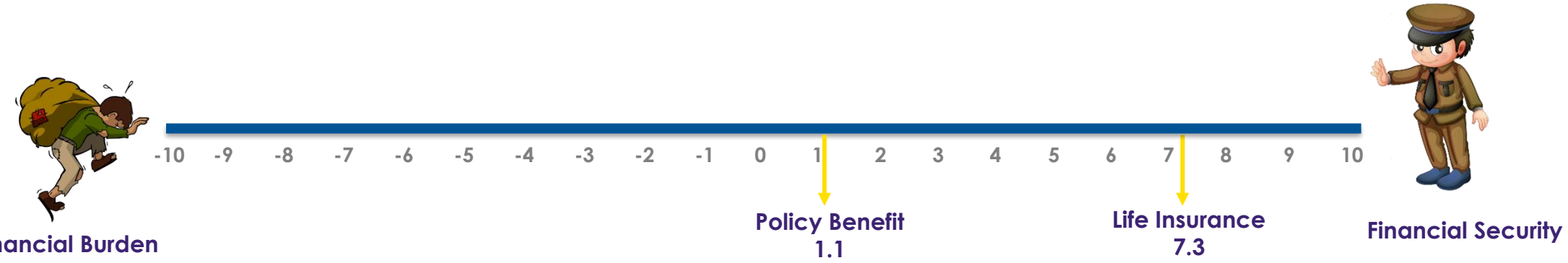
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ATTITUDE TOWARDS LIFE INSURANCE

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ATTITUDE TOWARDS LIFE INSURANCE

As a product category & financial instrument



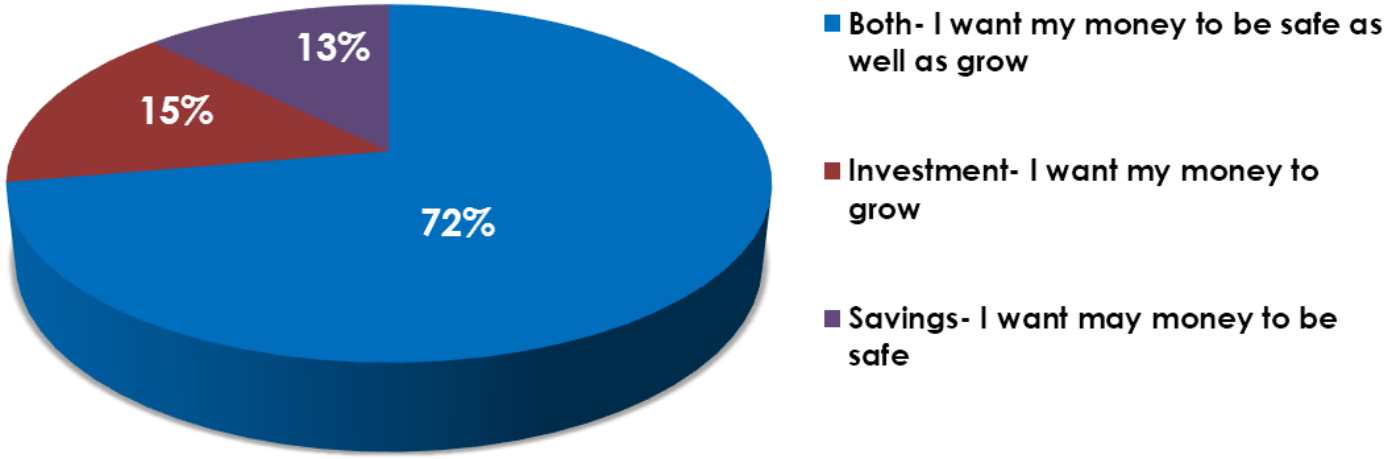
Concept to specifics gap

Cognitive load increases

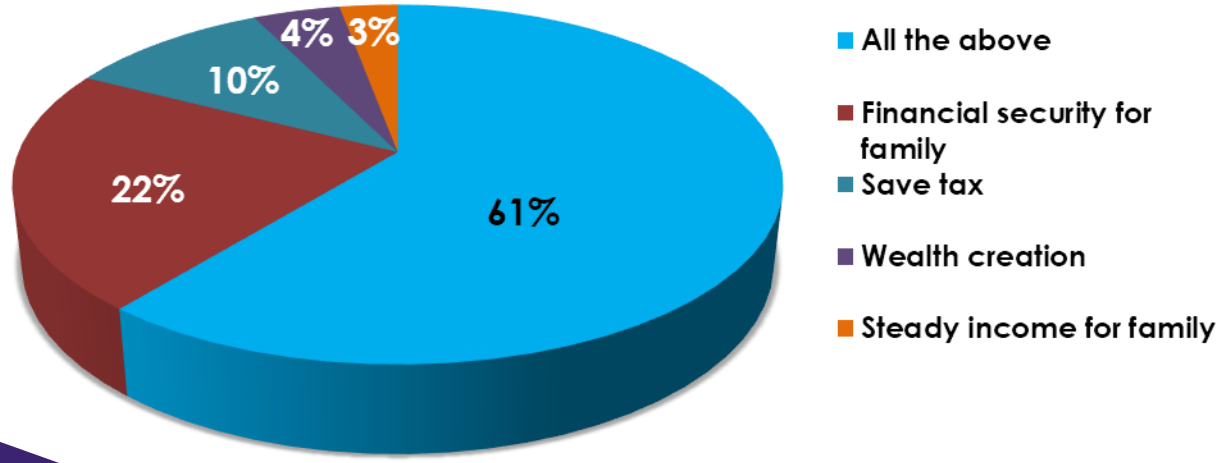
Specifics are always comparative

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WHAT DOES LIFE INSURANCE MEAN



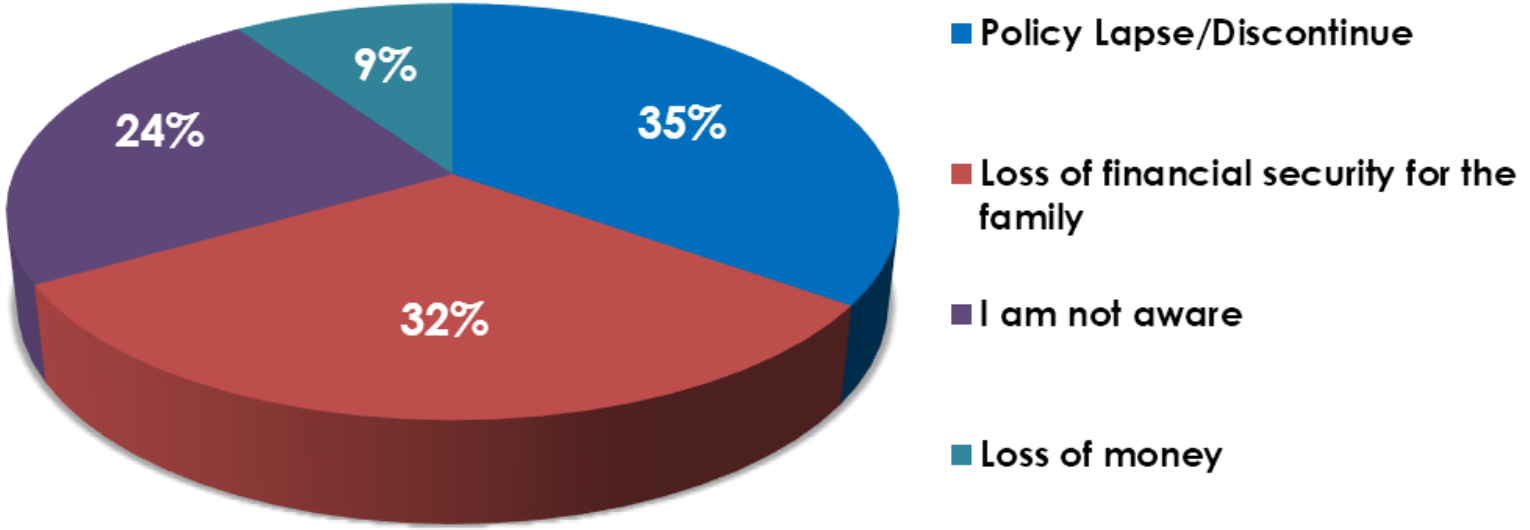
WHY LIFE INSURANCE



Inability to estimate and track "reward" in a simple, intuitive and continuous manner; independently

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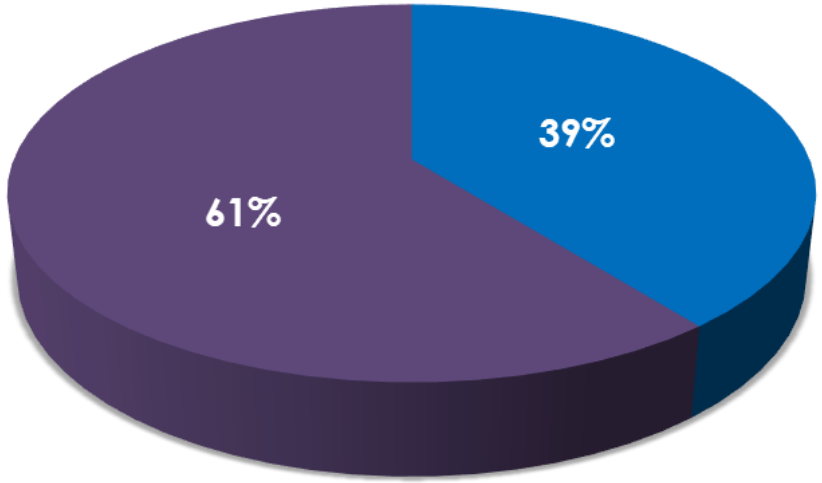
WHAT HAPPENS IF PREMIUM IS NOT PAID



Impact of non-payment understood in "impersonal terms" as a "document discontinuity"

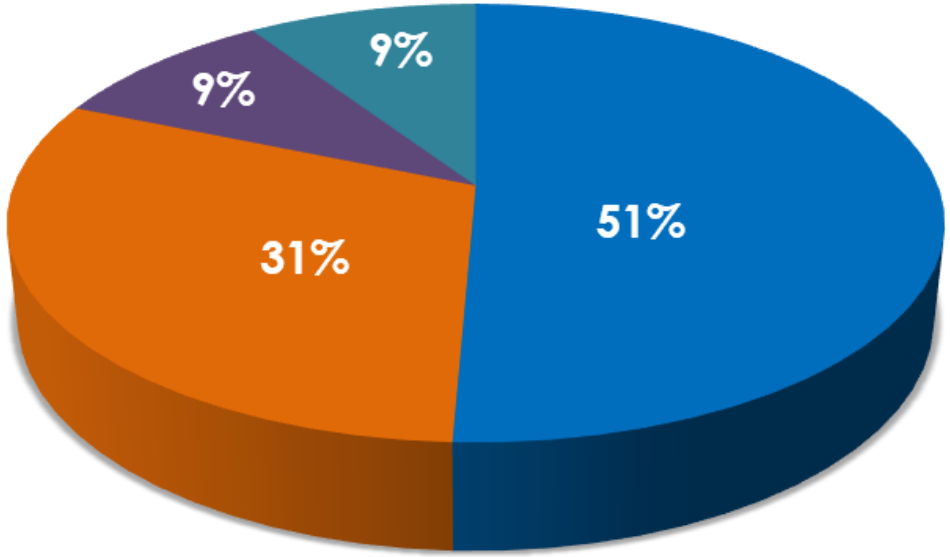
Point of Loss not clear

SURRENDER/LAPSE/DISCONTINUE AWARENESS



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WHY IS PREMIUM NOT PAID



- Lack of funds at the time of premium payment
- I forget the date
- Insurance is important but not urgent
- Premium payment due date is inconvenient

"I have some financial crisis, so I am not able to pay money.."

"I had some other requirements, so I surrendered.."

Premium Renewals takes a "**backseat**" in favour of financial outlays which have a more well-defined purpose & therefore urgency

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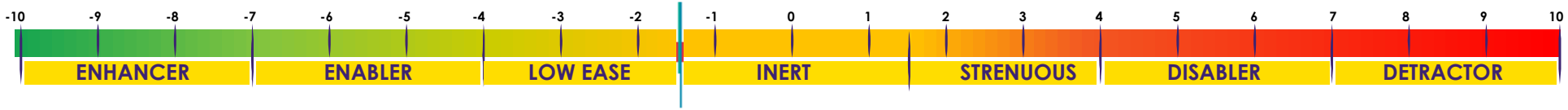
Effort Assessment Score

EFFORTLESS IS MORE

PREMIUM RENEWALS

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Engagement Maximized

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Enhancer

[-10 TO -7]

Excellent ideal. No action required, unless process is "unimportant" from a customer perspective. If the process is unimportant, scaling back any excessively stringent SLAs is a possibility towards cost reduction

Enabler

[-7 TO -4]

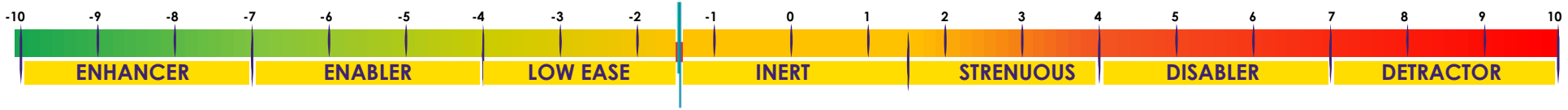
Happy Situation. Monitor to ensure consistence over time. If process unimportant, explore progressive relaxation of SLAs , if cost reduction is an objective

Low Ease

[-4 TO -1.5]

Make gains from here. If process is a differentiator, aim to reduce effort to **Enabler** levels. Use Physical, Time, Cognitive break up for prioritization. For hygiene processes, monitor to ensure consistency

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Inert

[-1.5 TO 1.5]

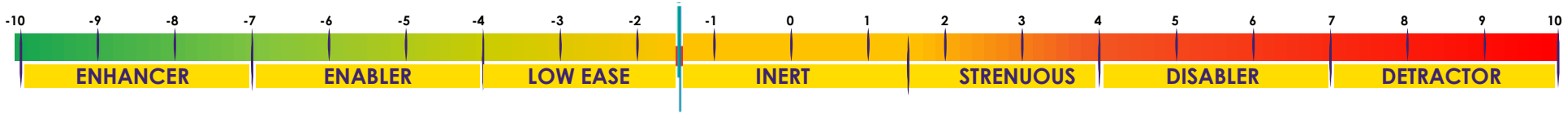
Risky, can go either way. If process is a differentiator, aim to progressively reduce to Enabler levels. For hygiene processes, urgently reduce to **Low Ease** levels. For unimportant process; no immediate change, monitor to ensure consistency. Use Physical, Time, Cognitive break up for prioritization.

Strenuous

[1.5 TO 4]

If process unimportant explore options to eliminate or move to **INERT** levels. If process is hygiene reduce to **Low Ease** levels immediately . If process is a differentiator, 90 day plan to reduce to **Enabler** levels. Use Physical, Time, Cognitive break up for prioritization

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Disabler

[4 TO 7]

Serious Trouble. PROCESS REDESIGN REQUIRED: If process is unimportant explore options to eliminate or reduce effort to **INERT** levels. If process is hygiene 90 day plan to reduce to **Low Ease** levels. If process is differentiator, redesign to reduce to **Enabler** levels .Use Physical, Time, Cognitive break up for prioritization

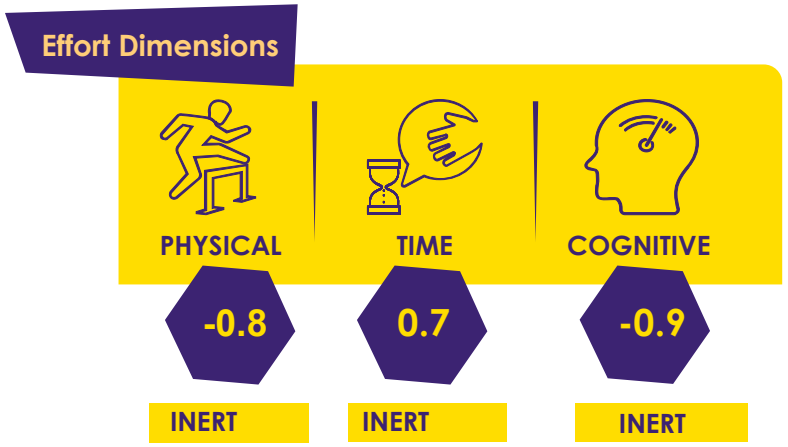
Detractor

[7 TO 10]

Significant time & money drain is currently underway for customer as well as organization. PROCESS OVERHAUL REQUIRED: If process is unimportant explore elimination, if not, then reduce effort to **NEUTRAL** levels . If process is hygiene 90 day plan to reduce to **Low Ease** levels. If process is differentiator, overhaul to reduce effort to **Enabler** levels .Use Physical, Time, Cognitive break up for prioritization.

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Premium Renewals

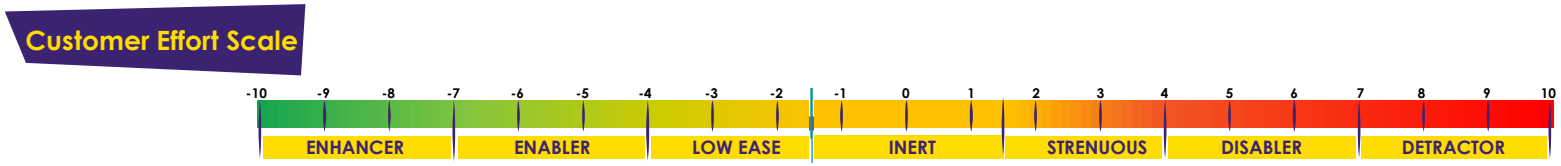




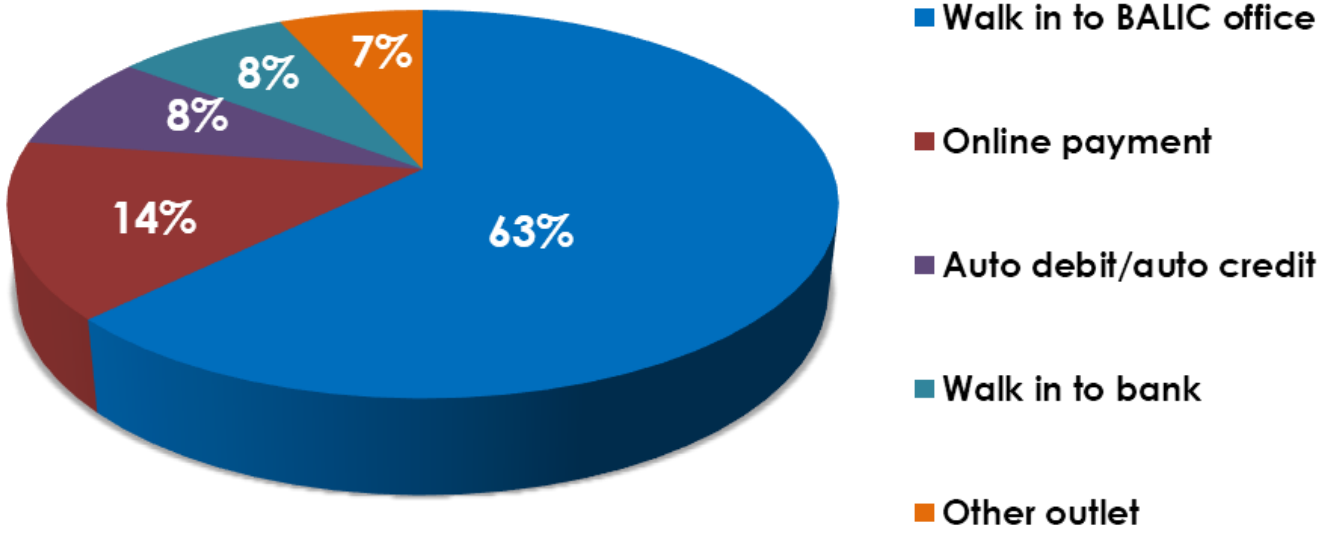
Customers primarily use physical channels to pay premiums

Effort & time involved in planning the visits & actual visits drives perception of high effort

Lack of an "feedback loop" adds to the cognitive effort



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"I was considering cancelling the auto debit service. They debit the money 2 or 3 times."

"No. I'm not interested in using it...its unsafe... No one in my family uses internet."

"I do use the internet. But I don't use net banking...I am not comfortable"

"if the transaction fails, the feedback doesn't come immediately.. the response from BALIC is too late... it takes about a day"

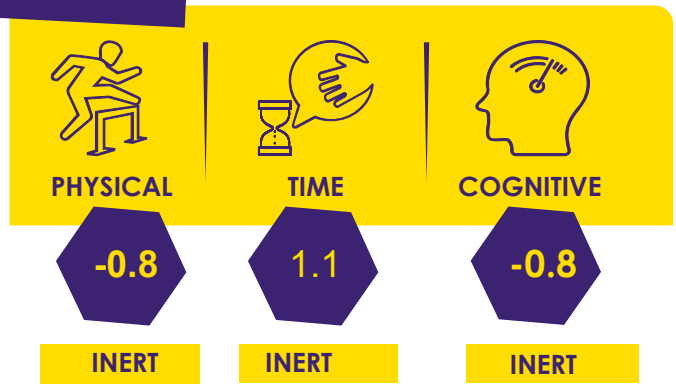
Customer base not an avid , keen internet user
"Once bitten, twice shy"

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Premium Renewals

-0.2
INERT

Effort Dimensions



"I called to check the premium updates, sometime it took 2-3 days to come... I had to follow up with them numerous time"

"Even if I pay the premium in the branch, the response from their side isn't good.."

DRIVERS OF EFFORT

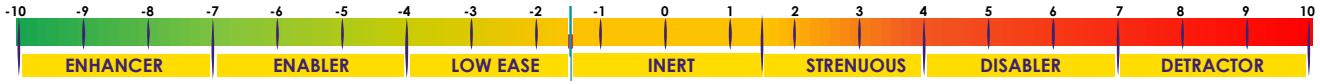
Physical visit

Wait time at the branch

Time to confirmation of receipt of payment

Having to remember to schedule a visit adds to cognitive effort

Customer Effort Scale



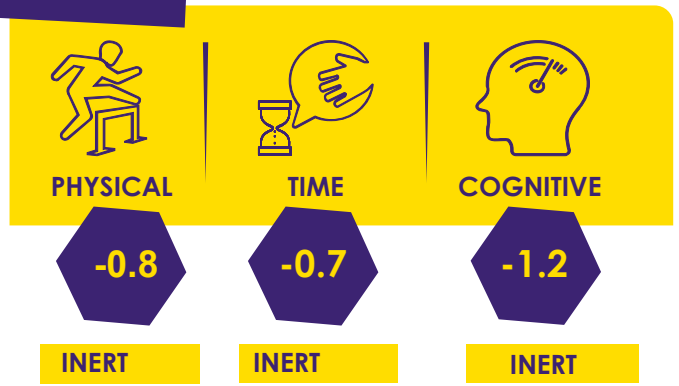
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Premium Renewals

*Scores are for users of online (digital) methods of premium renewals

-0.9
INERT

Effort Dimensions



"money doesn't get deducted on same date sometimes it deducts early sometimes.. late. Why???"

DRIVERS OF EASE

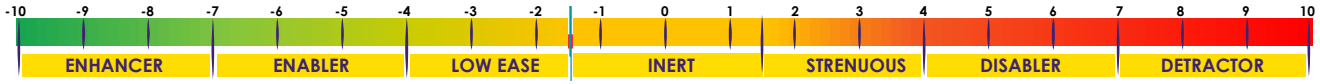
Ease of accessibility
Instant transaction acknowledgement
Convenience

DRIVERS OF EFFORT

Performance issues
Time outs
Perceived complexity

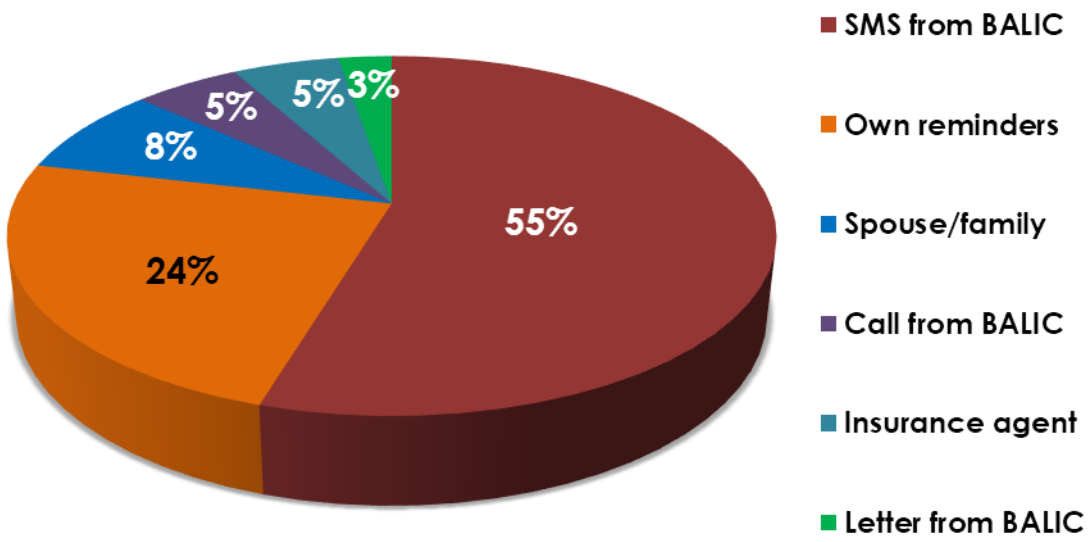
"I tried to pay via auto debit feature but it didn't happen so usually pay the premium via cheque"

Customer Effort Scale



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PREMIUM PAYMENT REMINDERS



"..the alert comes only when it is time to pay. But, there is no alert about the benefits ... we should get that message as well"

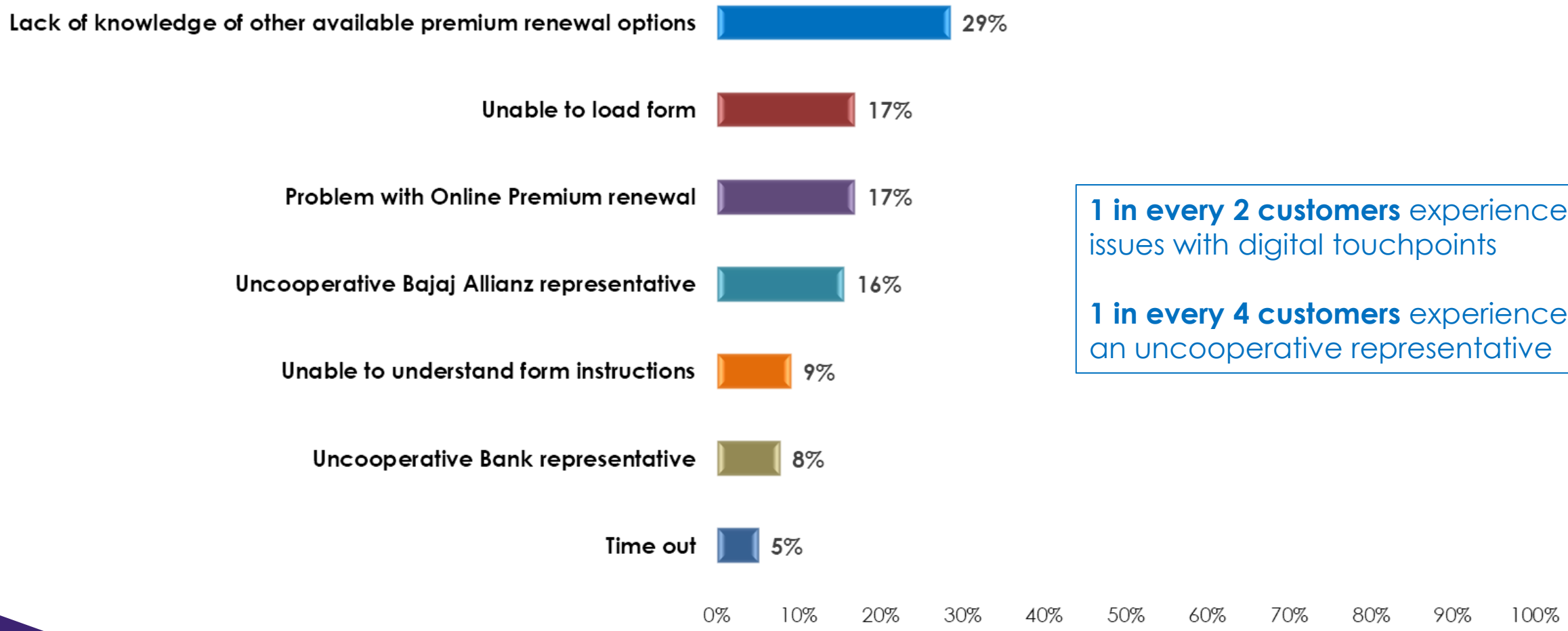
Respondents remember getting up to 2 reminders (SMS)

Other than payment reminders, respondents don't recall any other communication from BALIC

Only 10% respondents considered it useful to approach "Customer Care"

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PROBLEMS FACED DURING PREMIUM RENEWALS



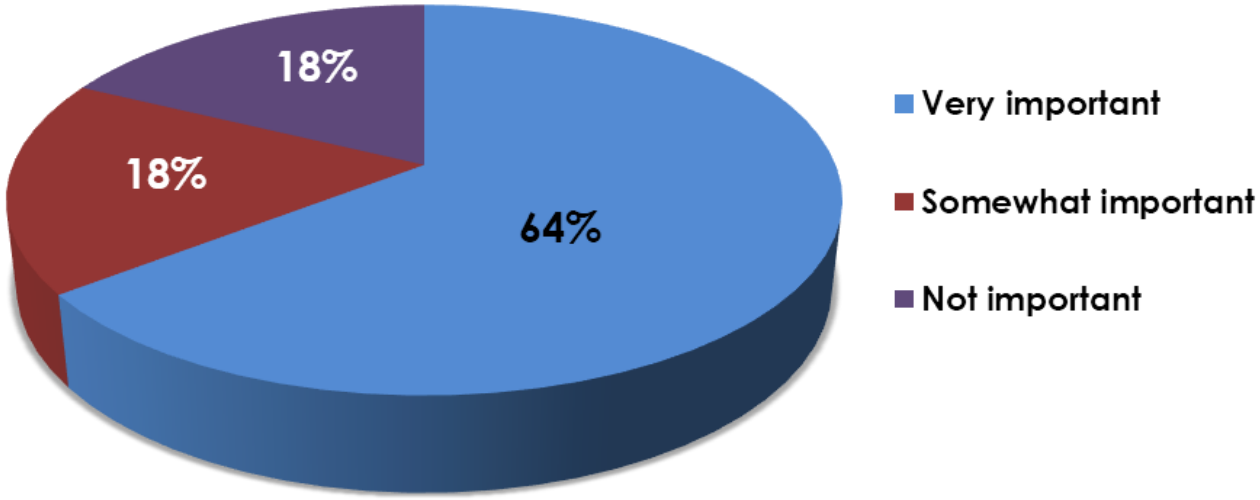
1 in every 2 customers experienced issues with digital touchpoints

1 in every 4 customers experienced an uncooperative representative

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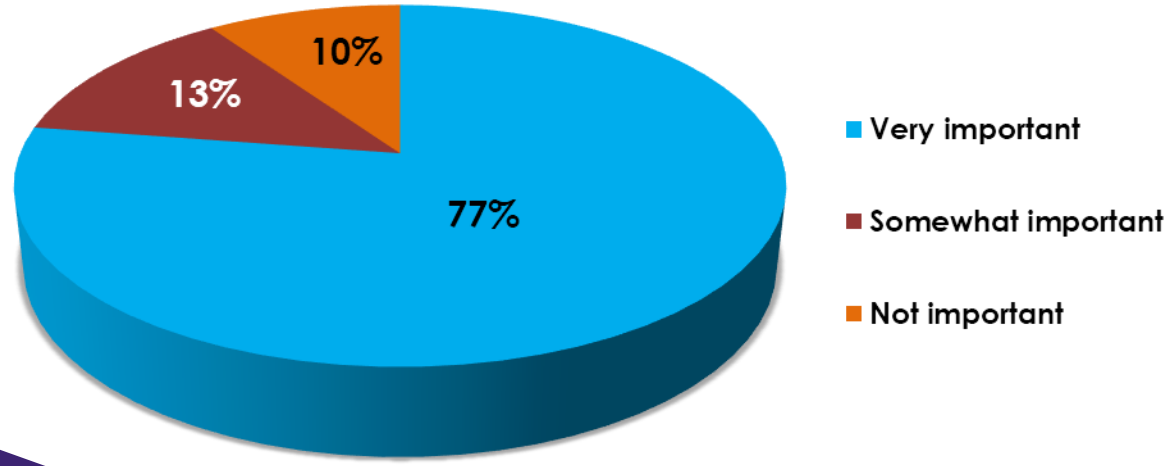
EXPECTATIONS

PREMIUM PAYMENT FLEXIBILITY (Increase/decrease/re-schedule)



52% respondents believe they do not have the option of changing premium payment frequency

DEATH BENEFIT FLEXIBILITY (Increase/decrease)



A sense of lack of control over the outlay (value & schedule) as well as benefits dissuades adherence

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POSSIBILITIES

DRIVING SHIFTS

Customers seek

Transparency – *Totality & Intuitiveness*

Consistency-*Across the entire lifecycle*

Flexibility- *Ability to control outcome*

DRIVING SHIFTS

Motivate the desired behaviours

Make it easy to comply with desired behaviour (persistency)

EAST FRAMEWORK FOR DRIVING SHIFTS

EASY	Make it hassle-free, intuitive and low effort
ATTRACTIVE	Attract attention, incentivise, reward
SOCIAL	Show that most people perform the desired behaviour. Use the power of social communities
TIMELY	Demonstrate immediate costs and benefits. Prompt when customers are most receptive to behaviour change

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EASY
Make it easy to pay

Making the "Alarm" effective

1. Frequency
2. Language
3. Tone
4. Tenor

Make it easy to "prioritise" premiums

1. Sense of control - Configurability
2. Proactive extensions on due date

Leverage "default settings"

1. Pre-configured OTP authenticated "auto-payment" mechanism
2. Consistently exhibited payment behaviour

Address drivers of Effort

1. Make digital easier to understand (multilingual interface)
2. Seamless failover recovery from digital to physical modes
3. Drive digital adoption via awareness, education and training

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ATTRACTIVE	Connect the premiums strongly, consistently and repetitively to a set of life goals
	Reinforce the "delayed gratification" reward at each premium payment moment
	Show "progress" towards goal achievement
	Acknowledge & encourage sustained persistency
	Create "benefits" of "on-time" payments

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SOCIAL

Co-opt & nudge stakeholders in the financial basket

Community of "on-time" customers

Real Stories - "Customers like you achieved this"

Publicly create "on time" champions; showcase the benefits they achieved

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TIMELY	BALIC presence when possible cash availability high (good harvest) and when possible cash availability low (natural calamities) Frequency of "reminders"; higher when closer to due date Encouragement of premium schedule adherence Extend help (offer to adjust date, value, frequency) Communication of progress towards goal achievement Showcase immediate benefits Help customers plan their response with communication and education

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"**FUN** is like life insurance;
the older you get the
MORE IT COSTS."

—Frank McKinney



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ATTITUDE TOWARDS LIFE INSURANCE



Financial Burden

Chhattisgarh

Policy Benefit 1.9

Life Insurance 5.85

-10 -9 -8 -7 -6 -5 -4 -3 -2 -1 0 1 2 3 4 5 6 7 8 9 10



Financial Security



Financial Burden

Himachal Pradesh

Life Insurance 9.3

Policy Benefit 7.3

-10 -9 -8 -7 -6 -5 -4 -3 -2 -1 0 1 2 3 4 5 6 7 8 9 10

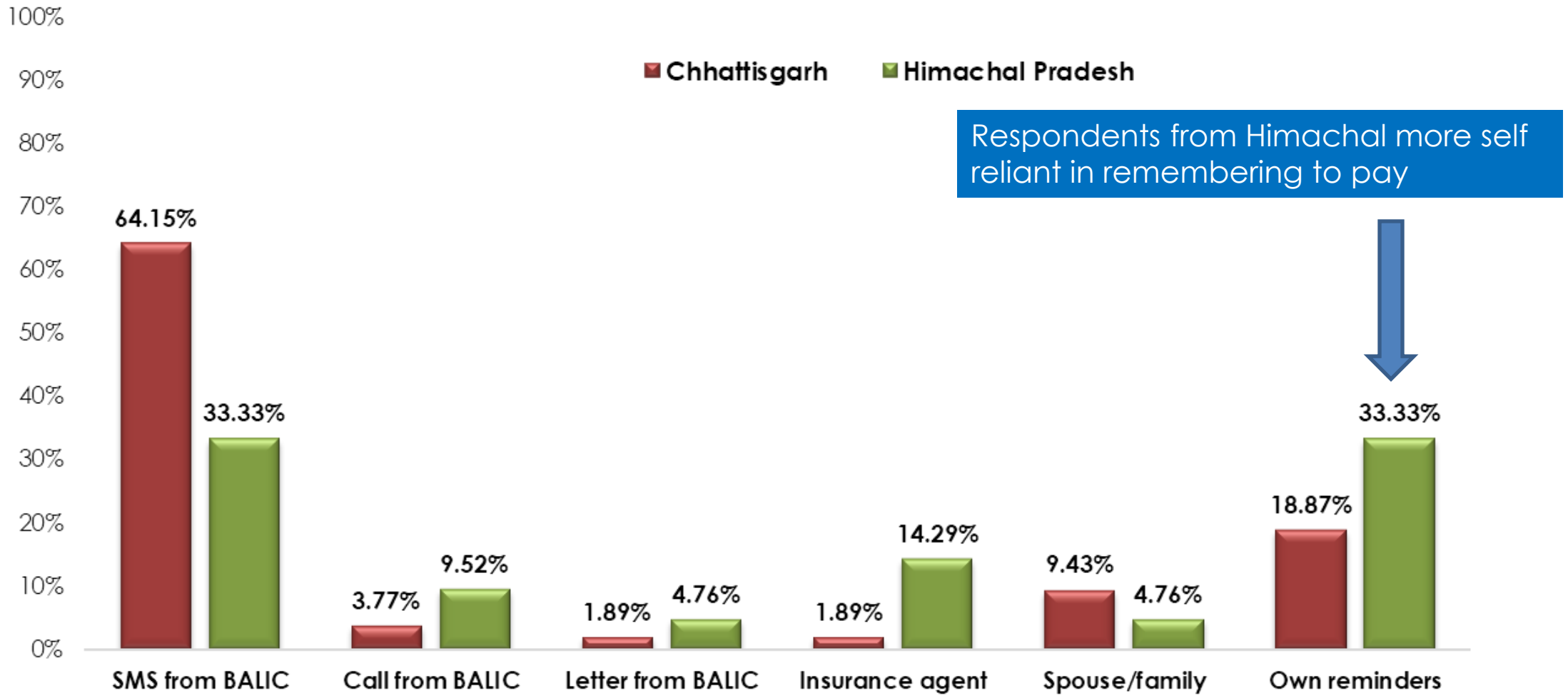


Financial Security

Association of life insurance with "financial security" much stronger in Himachal Pradesh than in Chhattisgarh

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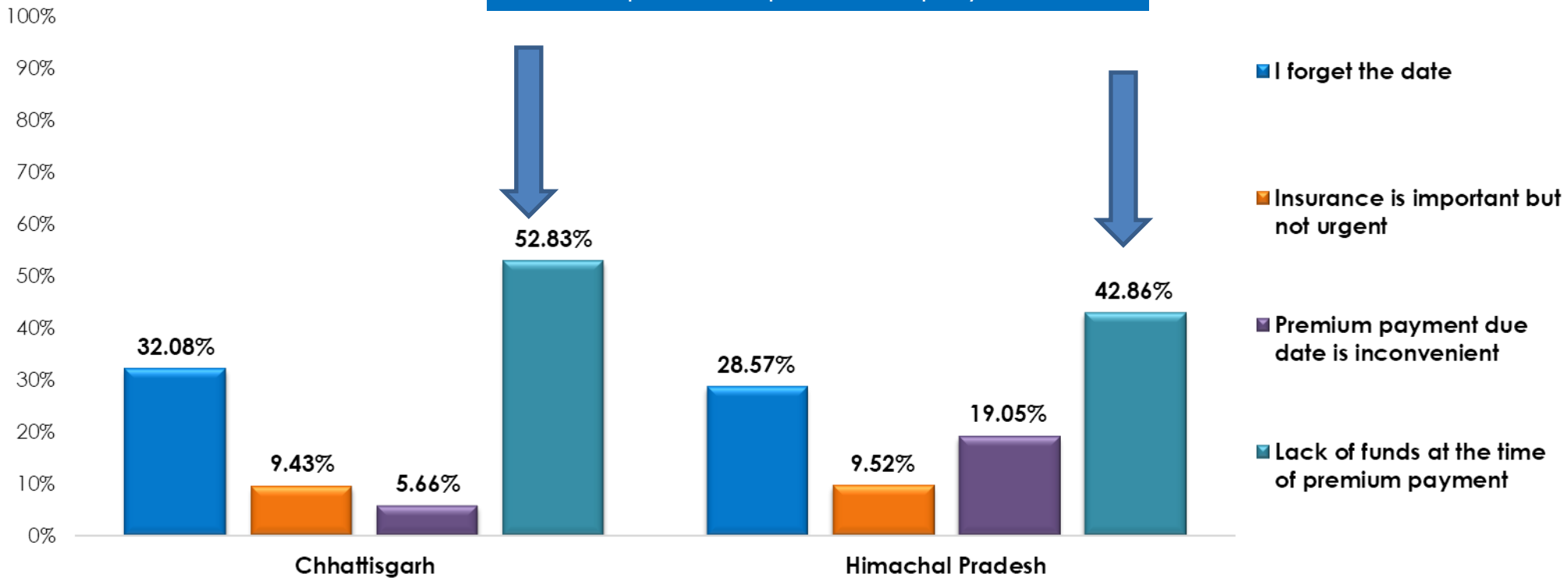
PREMIUM PAYMENT REMINDERS



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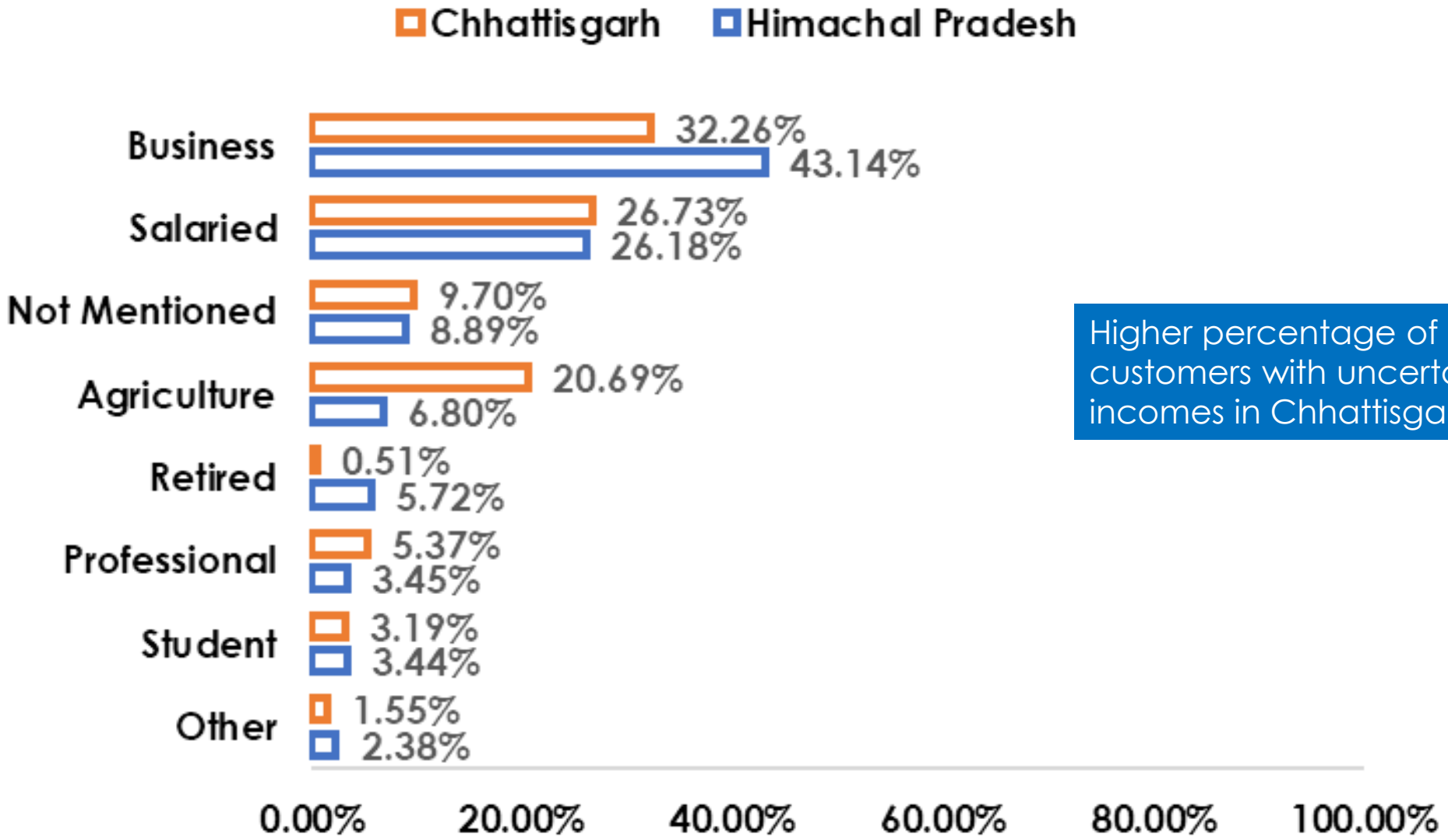
WHY IS PREMIUM NOT PAID

Respondents from Himachal better able to prioritize premium payments



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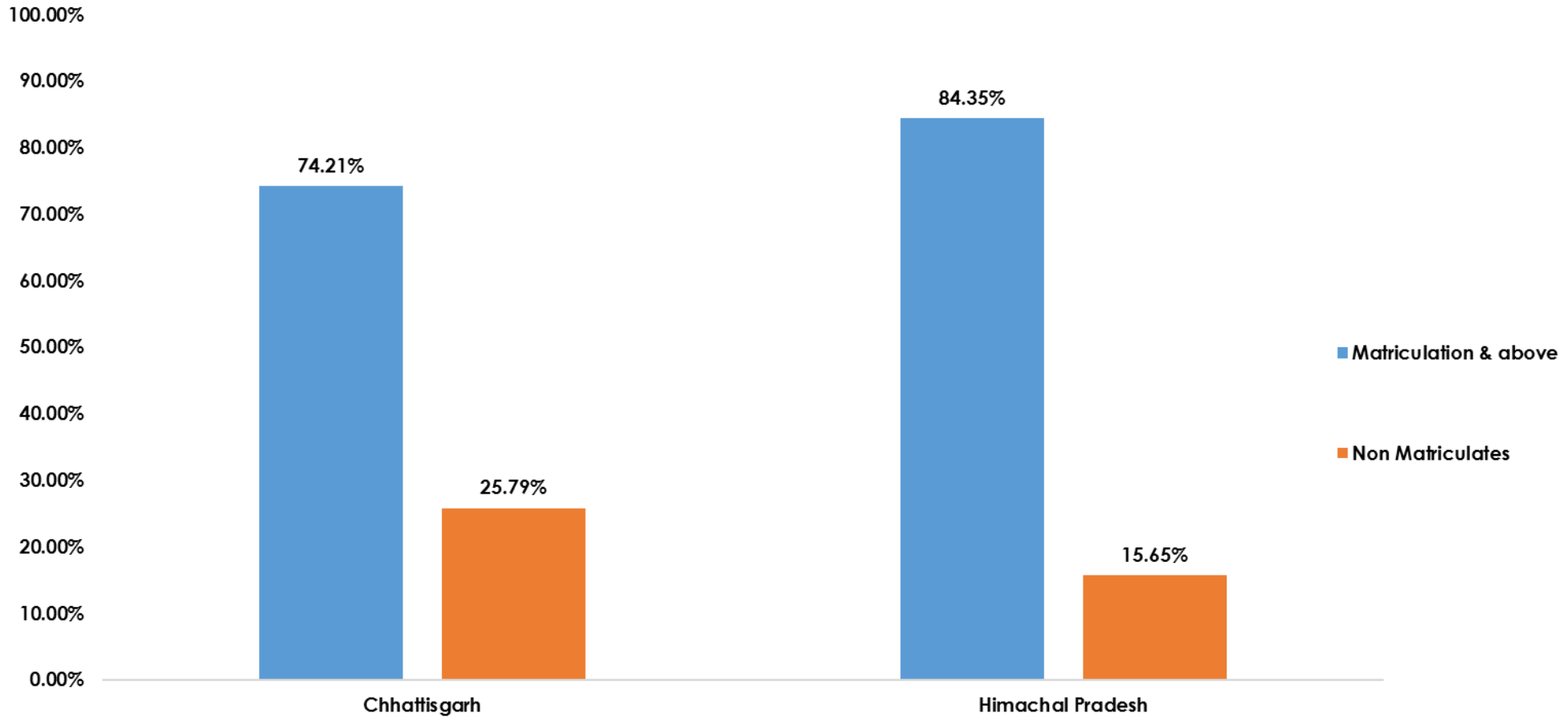
OCCUPATION



Higher percentage of customers with uncertain incomes in Chhattisgarh

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EDUCATION



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Effort
Assessment
Score

EFFORTLESS IS MORE

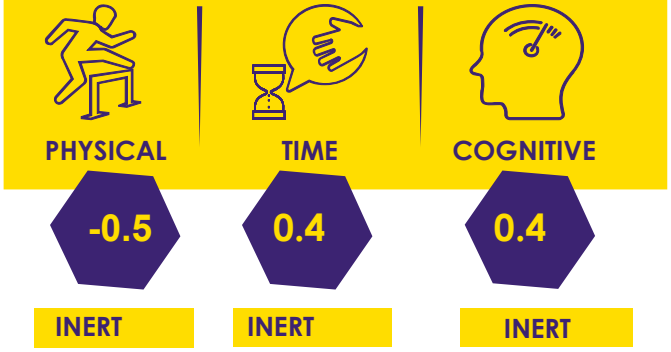
PREMIUM RENEWALS

HIMACHAL VS CHATTISGARH

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CHATTISGARH

Effort Dimensions

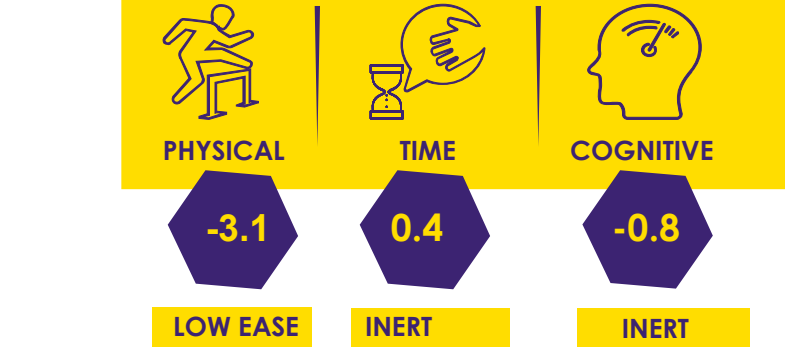


0.1

INERT

HIMACHAL

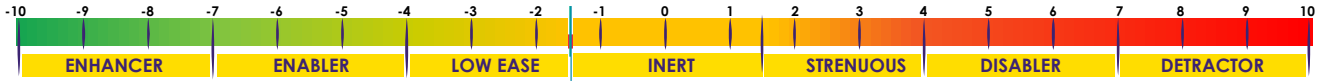
Effort Dimensions



-1.2

INERT

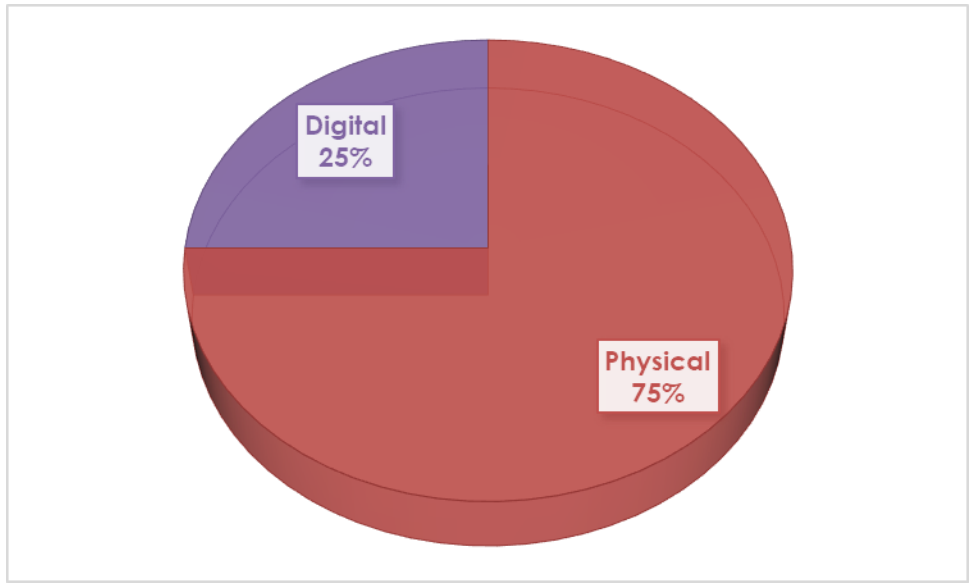
Customer Effort Scale



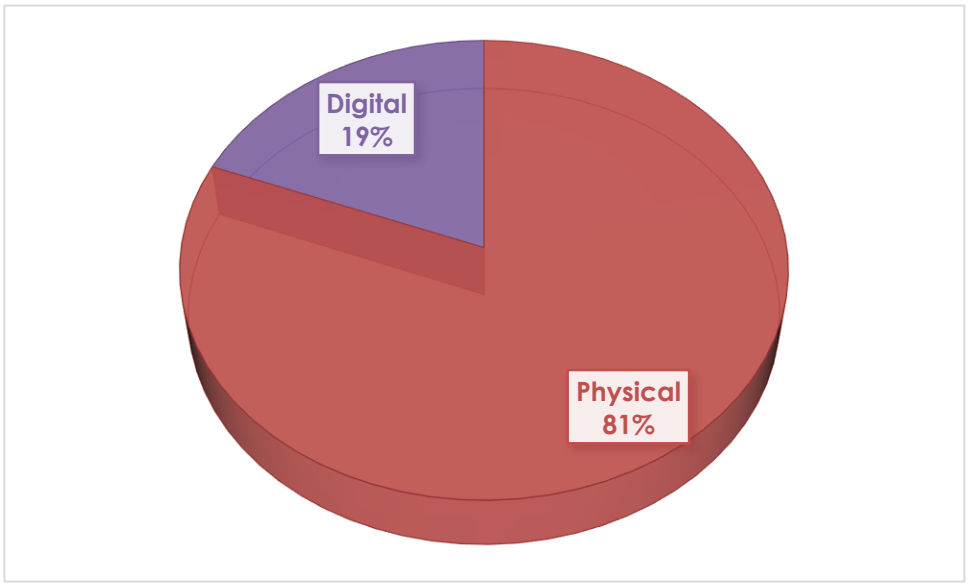
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MODE OF PAYMENT



CHATTISGARH



HIMACHAL

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POSSIBLE INFERENCES

Respondents from Himachal more engaged; more interested in keeping the policy active

Education & Occupation have possible impact on post purchase behaviours

Respondents from Chhattisgarh use more digital methods, perceived complexity of digital therefore drives effort score higher

Drivers of Insurance being "de-prioritized"

- Uncertain income cycles
- Lack of information (Transparency)
- Difficulty of payment
- Inflexible fixed outflow demand

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MORE IT COSTS."

—Frank McKinney



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